

		Accordingly, Plaintiff's Motion to Compel Further Responses to Request for Production (ROA 29) is DENIED. Additionally, the court IMPOSES sanctions in the amount of \$1,800 against Plaintiff Karen Kazarian due and payable to Atkinson, Andelson, Loya, Ruud & Romo within eighty (80) days of receiving notice. Defendant to give notice.
2.	30-2025-01462253-CU-BT-NJC CA New Generation Insurance Services, Inc. vs. Mufti	Before the Court is a Motion to Compel Compliance, and Sanctions, brought by Plaintiff CA New Generation Insurance Services, Inc. ("Plaintiff") against Defendant Faisal al-Mufti ("Defendant"). ROA 78 The underlying complaint alleges violations of California Penal Code Section 502 [unauthorized access to computers, computer systems and computer data], unfair competition, misappropriation of trade secrets, tortious interference with business contract, and intentional interference with prospective economic advantage. ROA 12. Plaintiff seeks an order, pursuant to California Code of Civil Procedure Sections 128(a)(4), 2030.300, and 2031.310, compelling Defendant to comply with the Court's May 26, 2026, discovery order that ordered Defendant to provide verified, code compliant responses, inclusive of document production and privilege log, to Plaintiff's Requests for Production ("PROD"), Set One, Plaintiff's Form Interrogatories ("FROG"), Set One, Nos. 15.1 and 17.1, within five (5) days of receiving notice of the Court's Order. ROA 78, p.2; ROA 55; ROA 54; ROA 65. Plaintiff also requests that the Court order Defendant to submit all computers, mobile devices, external drives, electronic storage media, email accounts, cloud-storage accounts, Guild Insurance Agency ("GIA") systems, Agency Matrix/ZyWave accounts, and other repositories of electronically stored information reasonably likely to contain responsive information to a neutral third-party forensic examiner within five (5) calendar days of entry of the Court's order, with Defendant

	to bear all forensic examiner costs. ROA 78, p.2. Lastly, Plaintiff requests the Court impose monetary discovery sanctions upon Defendant, pursuant to California Code of Civil Procedure Sections 2030.030(a), 2030.300, 2031.310, and 2031.320, in the amount of \$28,246.00, for costs borne by Plaintiff in bringing the instant motion and the original Motions to Compel. ROA 78, p.2. Relevant Timeline of Events On April 24, 2026, Plaintiff served a Motion to Compel Further Responses to Form Interrogatories (“MF-FROG”), Set One, and Sanctions; and a Motion to Compel Further Responses to Requests for Production (“MF-PROD”), Set One, and Sanctions; upon Defendant by email. ROA 53, p. 20; ROA 54, p. 12. On April 28, 2026, the Court ordered the parties to attend an Informal Discovery Conference (“IDC”) facilitated by the Court. ROA 58. The Court’s order required the parties to file a single joint letter brief (“JLB”) summarizing all pending discovery disputes. <i>Id.</i> On May 27, 2026, the parties attended the IDC as ordered. ROA 71. Therein, the Court offered the parties its tentative ruling based upon the parties’ JLB. <i>Id.</i> The parties submitted on the Court’s tentative ruling, which resulted in an Order for Defendant to “provide verified responses, inclusive of document production, to all outstanding requests no later than June 10, 2026.” <i>Id.</i> The Court’s order “<i>expressly</i> advised” that Defendant’s responses must “affirmatively state that all responsive documents have been produced [that are] within [the] party’s possession, custody, or control and, if no documents so exist, to so state, and if documents once existed[] but no longer exist, to explain the circumstances as to those documents no longer being in existence” <i>Id.</i> On June 9, 2026, Defendant requested an extension to June 30, 2026, to serve the Court ordered responses. ROA 79, ¶ 11. Due to the then-approaching trial date, Plaintiff refused Defendant’s request. <i>Id.</i>; <i>see also</i> ROA 98 (continuing trial
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		from September 28, 2026, to February 16, 2027, as of July 17, 2026). Defendant did not provide the verified, code compliant responses as ordered by the Court. ROA 79, ¶ 12. Powers of the Court to Impose Sanctions California Code of Civil Procedure Section 128 grants courts the power to “compel obedience to its judgments, orders, and process. . . .” Cal. Civ. Proc. Code § 128(a)(4). Additionally, California Code of Civil Procedure Section 177.5 provides that upon “notice contained in a party’s moving or responding papers; or on the court’s own motion, after notice and opportunity to be heard . . .” a judicial officer may impose monetary sanctions not exceeding fifteen hundred dollars (\$1,500) “payable to the court, for any violation of a lawful court order . . . done without good cause or substantial justification.” Cal. Civ. Proc. Code § 177.5 (emphasis added); <i>see People v. Aguirre</i>, 64 Cal. App. 5th 652, 668 (2021) (citations omitted) (stating Section 177.5 “does not require a ‘willful violation, but merely one committed . . . without a valid excuse.’”); <i>see People v. Edwards</i>, 88 Cal. App. 5th 1259, 1273 (2023) (finding a court’s mere recitation of the words of the statute insufficient to support the imposition of sanctions). Here, the Court finds that Plaintiff’s Notice of Motion provides Defendant with sufficient notice of the potential imposition of monetary discovery sanctions for discovery misuse and for failure to adhere to this Court’s orders. ROA 78. Additionally, Defendant does not offer, and the Court does not find good cause or substantial justification for Defendant’s failure to obey this Court’s prior order to serve discovery responses no later than June 10, 2026. ROA 71. Consequently, Defendant is subject to discretionary sanctions pursuant to California Code of Civil Procedure Section 177.5 up to \$1,500. Discretionary Sanctions for Misuse of the Discovery Process “California discovery law authorizes a range of penalties
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		for conduct amounting to ‘misuse of the discovery process,’” including monetary, issue, evidence, and terminating sanctions. <i>Doppes v. Bentley Motors, Inc.</i>, 174 Cal. App. 4th 967, 991 (2009); Cal. Civ. Proc. Code §§ 2023.030(b)-(d), 2031.300(c). “Misuses of the discovery process include . . . [f]ailing to respond or submit to an authorized method of discovery . . . [m]aking or opposing . . . a motion to compel or to limit discovery . . . ” and “disobeying a court order to provide discovery.” Cal. Civ. Proc. Code § 2023.010(d), (g), (h). Here, Defendant’s failure to obey the Court’s order to serve discovery responses by June 10, 2026, also constitutes discovery misuse pursuant to California Code of Civil Procedure Section 2023.010, and justifies the imposition of discretionary discovery sanctions. Determining Appropriate Monetary Discovery Sanctions Awards Three principles guide the award and amount of attorney’s fees and costs imposed as a discovery sanction. <i>See Cornerstone Realty Advisors, LLC v. Summit Healthcare REIT, Inc.</i>, 56 Cal. App. 5th 771, 790-91 (2020) (compulsion, causation, and reasonableness). Having addressed compulsion and causation above, the Court focuses here on the principle of reasonableness. “The amount of monetary sanctions is limited to the ‘reasonable expenses, including attorney’s fees’ that a party incurred as a result of the discovery abuse.” <i>Cornerstone, supra</i>, 56 Cal. App. 5th at 791 (quoting Cal. Civ. Proc. Code § 2023.030(a)). The principle of reasonableness means that a trial court has discretion to reduce the amount of fees and costs requested as a discovery sanction to reach a reasonable award. <i>Id.</i>, (citing <i>Parker v. Wolters Kluwer U.S., Inc.</i>, 149 Cal. App. 4th 285, 294 (2007)). “After a motion to compel discovery has been filed, further expenses incurred in meeting and conferring on the discovery dispute, whether it be through private mediation or normal channels of communication, are not compensable as discovery sanctions.” <i>In re Marriage of Moore</i>, 102 Cal.
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	App. 5th 1275, 1301 (2024) (emphasis added). Pursuant to California Code of Civil Procedure Section 2023.010, and after considering Plaintiff’s counsel’s reasonable calculation of expenses incurred as a result of Defendant’s multiple discovery abuses, the Court finds that Plaintiff is entitled to a monetary discovery sanctions award of \$15,535. Sanctions Reporting Requirements California Business and Professions Code Section 6068 imposes a duty upon licensed attorneys to self-report to the State Bar, in writing, and within thirty (30) days of receiving notice of a court’s order imposing “judicial sanctions against the attorney, except for sanctions for failure to make discovery or monetary sanctions of less than one thousand dollars (\$1,000).” Cal. Bus. & Prof. Code § 6068(o)(3); <i>See also</i> Cal. Bus. & Prof. Code § 6086.7 (placing the same reporting requirements upon the courts). The California State Bar Court reads these exemptions narrowly and has determined that monetary discovery sanctions of \$1,000 or more are reportable where the sanction is not for failure to make discovery. <i>See Matter of Rubin</i>, 5 Cal. State Bar Ct. Rptr. 797, 808 (2021) (finding that an attorney had an independent duty to report sanctions of \$2,335 to the State Bar for unsuccessfully opposing a motion for a protective order). Accordingly, a monetary sanction is <i>not</i> exempt from reporting merely because it arises in a discovery proceeding. California Rules of Court, Rule 10.609 states that a “judge issuing the order triggers the notification requirement under California Business and Professions Code Section 6068.7 is responsible for notifying the State Bar . . . and may direct court staff” to do so. Cal. Rules of Court, Rule 10.609(a). Accordingly, the Court determines that any sanctions imposed herein upon Defendant pursuant to California Code of Civil Procedure 2023.010, in any amount of \$1,000 or more, are reportable on the grounds they are justified for failure to <i>follow a court order</i> to make discovery, rather than
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		failure to make discovery. <i>Compare</i> Cal. Civ. Proc. Code § 2023(d) <i>with Id.</i> at subsec. (g). Allocating Monetary Discovery Sanctions California Code of Civil Procedure Section 2023.030 permits a court to impose monetary sanctions on “one engaging in the misuse of the discovery process, or any attorney advising that conduct . . .” or any party who “unsuccessfully assert[s] that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both.” Cal. Civ. Proc. Code § 2023.030(a). Courts <i>shall</i> impose monetary sanctions absent a finding “that the one subject to the sanction acted with substantial justification.” <i>Id.</i> When the misconduct is clearly attributable to one party, courts should generally sanction only that party. However, when monetary sanctions are sought against an attorney for client misconduct, the court <i>must find</i> that the attorney advised the client to engage in the sanctionable conduct. <i>Cornerstone, supra</i>, 56 Cal. App. 5th at 799 (emphasis added). The burden then shifts to the attorney to prove that they did not provide such advice. <i>Id.</i>; <i>compare Corns v. Miller</i>, 181 Cal. App. 3d 195, 200-201 (1986) (a court did not err in ordering monetary sanctions against an attorney where the attorney did not submit an opposition to the motion for sanctions, did not appear at the hearing, and failed to discharge his burden of proving he did not counsel disobedience) <i>with Kwan Software Eng’g, Inc. v. Hennings</i>, 58 Cal. App. 5th 57, 83 (2020) (finding substantial evidence that attorneys did not advise disobedience where attorneys provided multiple declarations, under penalty of perjury, in addition to e-mails and testimony in their defense). If the <i>client</i> engaged in misconduct, for example, by refusing to answer discovery, hiding documents, or failing to appear for a deposition, sanctions should be imposed on them. <i>See Ghanooni v. Super Shuttle</i>, 20 Cal. App. 4th 256, 260-261 (1993) (finding no liability for counsel for monetary sanctions where client refused to submit to x-rays and their attorney’s declarations show that the attorney attempted to convince the client to comply).
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	If the <i>attorney</i> is responsible, for instance, by instructing a client not to answer without substantial justification, failing to meet and confer in good faith, or failing to provide timely responses, the sanction can be imposed directly on the attorney. <i>See Ghanooni, supra</i>, 20 Cal. App. 4th at 260-261. If the Court finds that both share responsibility, then sanctions can be imposed jointly and severally. <i>See Cornerstone, supra</i>, 56 Cal. App. 5th at 799. Here, the parties do not offer, and the Court does not find, that Defendant's violations of the Court's orders are attributable to client misconduct. Accordingly, sanctions are appropriate against Defendant's counsel only. However, because Plaintiff's Motion does not place Defendant's counsel on notice, the Court finds that the imposition of warranted sanctions at this juncture would violate due process. Finally, the Court exercises its discretion to sanction Defendant's counsel pursuant to California Code of Civil Procedure section 2023.010. The Court declines to impose additional sanctions under section 177.5 because doing so would be duplicative and disproportionate. Accordingly, the Court makes the following orders: Plaintiff's Motion to Compel Compliance is GRANTED. Defendant is again ORDERED to provide verified, code compliant responses to Plaintiff's discovery demands as detailed in Plaintiff's Motion (ROA 78) by no later than August 13, 2026. Additionally, Defendant's counsel is ORDERED to appear to Show Cause re: Monetary Discovery Sanctions of \$15,535 for Failure to Obey Court Orders pursuant to Code of Civil Procedure section 2023.010, on August 17, 2026, at 1:30 p.m. in this Department. Clerk shall give notice.
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